OFFICE OF
THE SECRETARY OF STATE
WASHINGTON

DECLASSIFIED
E.O. 12065, Sec. 3-402
State Dept. Guidelines, March 6, 1982
By DEB NLT, Date 9-5-85

June 5, 1951

~~SECRET~~

SUMMARY OF TELEGRAMS

PARIS FOUR POWER TALKS

In commenting on the Soviet rejection of the Western notes, Ambassador Jessup says that the chief difficulty to be anticipated now in dealing with the Soviet reply is the French attitude, due to the coming French elections. Parodi anticipates a government decision that nothing can be done to break off the talks before June 17th (election day). Davies left for London last night to consult with Morrison. Davies had stated definitely, however, as a result of conversations in London over the past weekend that the British Government will insist on a clear statement in Paris terminating the discussions. He said he did not exclude the possibility that we could indicate to the Soviets that if they have anything new to bring up the three governments would designate representatives in Paris to consider the matter--i.e. the British and American ambassadors. There is general agreement among the Western delegates (and the view is shared by the Department) that any reply to the Soviets must stress that our invitation to the Soviets still stands.

JAPANESE TREATY

Ambassador Dulles has begun talks in London concerning the Japanese treaty. At the first talk Mr. Morrison said he accepted the principle of a quick and liberal peace, but that Japanese wrongs and cruelties are not forgotten and could not be wholly ignored in the treaty. He said that armaments should be specified and a limit set beyond which the Japanese could not go without the consent of the Allied powers. He felt some recognition of mistreated prisoners of war and their families should be accorded, for which purpose all or part of Japan's gold should be applied. Moreover, Formosa's status should be unchanged, and there should be no participation on behalf of China at present. Mr. Morrison also indicated that the British would need more details on commercial and financial matters. Dulles points out that the only major surprise in the above is the British proposal for limiting rearmament, which is directly contrary to the position expressed in the British aide-memoire of March 12th.

~~SECRET~~

Mr. Dulles also lunched with French Ambassador Massigli and discussed the Japanese treaty. Massigli said the French feel we should not seek a Japanese treaty now, as this would be an additional irritant to the Russians. He advocated gradual relaxation of controls as in the case of Germany. Massigli made it obvious that the French would be willing to sacrifice Japan in the hope of gaining more time for strengthening Western Europe. As a subsidiary point, he suggested that the US might be willing to make a security pact with Indochina, as with Australia or New Zealand. He further suggested a series of similar bilateral peace pacts with Japan rather than a single instrument, since these would be less obvious in their exclusion of Russia and China.

CHINA

Swedish Ambassador Hammerstrom in Peiping, who is returning home on consultation, recently called at our Consulate General in Hong Kong. In commenting on conditions in Peiping Hammerstrom said he does not subscribe to the widely-held view that the Peiping regime is efficient. He believes the lack of authority at the working level, coupled with the lack of technical knowledge at the top level, is a serious if not a fatal weakness. Hammerstrom expressed the view that the military and industrial potential of China has been greatly overrated by the US and other Western countries. He says China's need for all kinds of strategic commodities is desperate and the country is exceedingly impoverished, if not bankrupt. Hammerstrom says he feels that shipping is the Achilles heel of the regime and that a very effective squeeze could be placed on it by a UN agreement that no members would permit their ships to call at Chinese ports. He felt this would be more effective than a commodity embargo and much cheaper and safer than a naval blockade.

Hammerstrom said Formosa is an exceedingly live issue with the regime and that its whole prestige seems to be staked on acquiring it. He did not believe the heavy casualties in Korea were likely to compel the Chinese to abandon their efforts there, but he felt the loss of arms, particularly artillery, was very important, as it could only be made up by the Russians, and every time the Chinese requested more arms from the Russians the latter would affix new conditions.